

## Corrective action plans

Priority and major findings require prompt resolution. Once the supplier addresses an audit finding, it must be closed by a second successful audit or Dell SER specialists, who validate that the issue has been resolved.

In FY24, 281 factories completed corrective actions, with 157 closure audits completed to verify corrective actions. 96% of priority findings were closed at supplier factories in the reporting period. (There was one priority finding at a final assembly factory in FY24 that was closed in FY25. 100% of priority findings at direct supplier factories were closed, and 96% of priority findings at sub-tier factories were closed). 67% of priority and major findings were closed overall at supplier factories (38% at final assembly factories, 67% at direct supplier factories and 68% at sub-tier factories).

Dell does not tolerate forced labor or child labor in any form. We undertake due diligence to assess and address risks of modern slavery in our supply chain, including:

- Proactively addressing issues with new and potential suppliers, prior to formal audits.
- Coordinating with procurement, including SER representatives and executives, to ensure immediate closure of critical labor findings.
- Requiring suppliers to build internal audit and governance mechanisms to prevent future instances if critical labor audit findings occur.
- Ensuring both suppliers in scope and employees in supplier-facing roles within our procurement and operations organizations complete Dell's required annual human rights training.

## Capability building

To proactively address risks, we provide resources to suppliers for knowledge and skills building in areas such as forced labor and health and safety.

**Factory consultations:** Our SER specialists work directly with supplier factories to better monitor and reduce risk. Engagements are customized to support long-term improvements.

**Dell-led training and webinars:** We use our digital tools to deliver trainings, roundtable sessions, interactive webinars and virtual networking sessions. These targeted events connect suppliers with sustainability leaders, examine emerging trends and risks and share best practices.

**Self-paced online training:** Our online training programs are offered in various languages. These training programs encourage proactive knowledge and performance growth and drive corrective action. Mobile access makes our platform even more accessible, allowing convenient interaction with our SER specialists. In FY24, 718 factories had access to more than 427 training sessions, including mobile frontline worker training.

To support our suppliers as they prepare for RBA audits, we developed an online question-and-answer system to provide quick and accurate answers to common SER management questions. The system was created in collaboration with internal and external experts, making it accessible to companies of any size or level of sustainability management experience.

In total, 1,680 unique participants representing 400 unique factories attended our capability-building programs, completing approximately 107,922 hours of training on SER topics.

Learn more about Dell's approach to [future-ready skills development](#).

## Education and collaboration

Our efforts to strengthen the sustainability of our supply chain go beyond working directly with our suppliers. We leverage our experience and reputation to collaborate with peers and NGOs to educate suppliers and policymakers in hopes of bringing about more significant change and bettering the lives of those within our supply chain.

Dell's participation in programs like the Mekong Sustainable Manufacturing Alliance (The Alliance) in Southeast Asia illustrates our commitment to collaborative education. The Alliance, funded by the [United States Agency for International Development](#) (USAID) and implemented by the [Institute for Sustainable Communities](#) (ISC) in partnership with [ELEVATE](#) and the [Asian Institute for Technology](#) (AIT), aims to improve local, domestic and foreign migrant workers' livelihoods, health and well-being and respect for workers' rights; foster sustainable economic growth; and achieve greater development commitment and investment of suppliers towards the advancement of their workforces in the Mekong region. This initiative positively impacts workers, local communities and the environment while improving the capacity of factories and increasing their market competitiveness. We are now utilizing key learnings from this partnership to benefit suppliers in additional locations.

